

Strategy Brief: SubBase Rentals Opportunity

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Strategy Brief: SubBase Rentals Opportunity

Part 1 of the SubBase Senior PM exercise. The canonical version lives in Notion; this is the in-repo markdown port, kept alongside the prototype it argues for. The connector between this strategy and the working prototype is [PROTOTYPE.md](#).

Recommendation

Build it — narrow wedge only. Ship rent-in PO tracking with off-rent alerts, a combined equipment list, and mobile check-in/out. Do **not** build a standalone fleet platform, maintenance engine, or telematics in v1.

Kill switches (decide before commit): Stop if field crews won't use mobile check-in/out after two rounds of testing — all downstream data depends on field capture. Re-scope to fleet scheduling if measured off-rent waste is under ~2% of rental spend at design partners. Kill the project if the customer base skews low-equipment or is too small for add-on revenue to matter.

Stay narrow (rent-in wedge)	Go broad (full platform)
Cheap, reversible, reuses existing plumbing	Expensive, slow, new infrastructure
Provable ROI from data we already hold	Competing on features we can't match
Defensible — integration is the moat	Fighting EquipmentShare on their turf
✅ Recommended	❌ Avoid

Market Opportunity

Target: ~7,000 US specialty-trade contractors with \$10M+ revenue in equipment-heavy trades (concrete, sitework, mechanical, masonry, steel). Our anchors — **Baker**, running their fleet on an outdated system, and **Miller & Long**, already in SubBase with rental items in the mix — define the ICP (ideal customer profile): multi-site concrete subs tracking owned and rented equipment in spreadsheets alongside SubBase.

Layer	Math	Result
SAM (serviceable addressable market)	~7,000 companies × ~\$10K ACV (annual contract value)	~\$70M/year
SOM — first 2 years	30–40% of eligible existing customers adopt	Low-single-digit \$M (depends on base size)
SOM — years 3–5	5–8% of SAM as word spreads	~\$4–6M/year

ACV planning number: **~\$10K/year**, validated three ways — under standalone equipment software pricing (~\$10–25K), ~~0.5% of a mid-size sub's rental spend (\$1.5–2.5M)~~, and consistent as a share of revenue.

The unfair advantage: SubBase already processes customers' rental POs (purchase orders). We can quantify each customer's rental waste — *before the first sales call* — using data they already gave us. No competitor can do that cold.

Competitive Landscape

Player	What they are	Their edge	Their blind spot
EquipmentShare (T3)	Rental company with software arm (~\$4.4B revenue)	GPS/sensor data; T3 is free bundled with rentals	No view into purchasing across all vendors
United Rentals / Sunbelt	Two giant rental houses (~22–25% of market)	Free portals bundled with rentals	Each portal sees only their own machines
Tenna / HCSS Equipment360	Standalone fleet-tracking software	Deep equipment features, hardware tags	No procurement or invoice-reconciliation integration
SubBase	Procurement platform adding rentals	We hold the POs, projects, and ERP sync	Smallest player; no telematics data

Why SubBase beats the rental co's own portal: United's portal sees United's iron. Sunbelt's portal sees Sunbelt's iron. A contractor renting from both — and running owned equipment — has three disconnected views with no job-cost context. SubBase sees cross-vendor rental activ-

ity, project-level costs, and ERP (enterprise resource planning — the customer's accounting system) sync in one place. No portal can do that.

The moat is **integration, not features** — and it only holds for the narrow rent-in slice. Building a full fleet platform means fighting EquipmentShare on capital, sensor data, and free bundling. We lose that fight.

User Workflows & Personas

FLEET MANAGER

Problem: No single view of owned and rented equipment across sites. A machine sitting idle on Site A gets duplicated by a rental on Site B. Utilization data lives in a spreadsheet or outdated tool — never inside the system tracking project costs.

Thinks in weeks to months, works from a desktop. Needs a scheduling board with conflict warnings, a cross-vendor equipment list, and utilization data that flows directly to job costing.

SUPERINTENDENT

Problem: Already uses SubBase mobile daily for deliveries and inventory in/out. Off-renting a machine is the one step in their workflow still stuck on a phone call or a form. The rental meter runs until the office catches it — days or weeks later.

Works from a phone, often in spotty signal. Needs return to feel like any other check-out they already do: scan → photo → condition → done in under 30 seconds, queued offline and synced when signal returns.

BACK-OFFICE / PROCUREMENT

Problem: Rental invoices routinely bill past the return date and include disputable damage charges. Without a timestamped return record and photo, there's no evidence to push back. Utilization data that should flow to the ERP for billing is assembled manually from vendor portals and spreadsheets.

Works from a desktop. Needs field check-out records as dispute evidence and clean cost data flowing to the ERP without manual assembly.

	Fleet Manager	Superintendent	Back-Office
Cares about	Utilization, conflicts	"Is it here and working?"	Accurate bills + ERP sync
Time horizon	Weeks–months	Today	Billing cycle
Device	Desktop	Phone (often offline)	Desktop
Tolerance for forms	Medium	Zero	Medium

The field captures events; the office consumes state. Nobody works in anybody else's interface.

Core Product Requirements

Core requirement: track equipment utilization → get billing data cleanly into the ERP. Data flows one-way/batch to Sage 300 CRE, CMiC, Foundation, Acumatica, Viewpoint/Vista, Procore, and QuickBooks via the existing integration layer.

In scope (v1)	Out of scope (v1)
Combined equipment list — owned and rented-in together	GPS/telematics hardware
Assign equipment to project with date range; warn on conflicts	Full maintenance system
Mobile check-in/out with photo + condition capture (works offline)	Customer-facing rental storefront
Off-rent tracking tied to the PO, with alerts when need-by date passes	Invoicing engine (push billing data to ERP instead)
Cost-per-project allocation (daily rate × days on site) into job costing	
Utilization view (days used ÷ days available)	

Build new	Reuse what's there
<code>Equipment</code> (serial-numbered asset with status)	<code>Vendor</code> — rental houses already exist
<code>EquipmentAssignment</code> (machine x project x date range)	<code>PurchaseOrder</code> — rent-ins are POs with dates
<code>EquipmentEvent</code> (check-in/out, off-rent, down, transfer)	<code>Project</code> — tells us where a machine is
Rental date field on the PO (<code>rentalStart</code>)	<code>FLEET_MANAGER</code> role — already seeded
	Site-to-site <code>TRANSFER</code> pattern — equipment moves work the same way

Note on the build: the brief originally proposed a `MaintenanceRecord` table and three PO return-date fields. Engineering review simplified both: a breakdown is now `Equipment.status = DOWN` + an `EquipmentEvent(DOWN)`, and per-machine return dates live on `EquipmentAssignment` (the canonical grain) rather than the PO. See [PROTOTYPE.md](#) for the rationale.

Technical Feasibility

Very buildable for a small team — we reuse the PO, vendor, project, and ERP machinery rather than starting fresh.

The one real gap: POs today have an `expectedDelivery` date but no return date and no return event. Until we add a rental start, an expected return, and an actual-return event, the product can show *days on rent* but cannot show *dollars wasted*. Don't demo the dollar figure until the capture is built. (*The prototype closes this gap — see below.*)

Field connectivity: check-in/out must save offline and sync later. Superintendents are already on SubBase mobile daily — rental check-in/out is a habit extension, not a cold start. Spotty connectivity is the design constraint.

Risk is adoption, not technical complexity. Will the field actually use it? That's what Phase 0 and Phase 1 are designed to answer.

Financial Projections & Unit Economics

ACV: **~\$10K/year per customer** — validated as under standalone equipment software pricing, ~0.5% of a mid-size sub's equipment spend, and consistent as a share of revenue.

Customer spending \$1.8M/year on rentals	Amount
Recoverable waste (6–10% of spend)	~\$110–180K/year
Portion our workflow can fix (~70%)	~\$80–130K/year
What we charge them	~\$10K/year
Payback	8–13x over

On top of a ~\$20–40K core contract, Rentals is a **25–50% account expansion**. Multi-module customers churn far less — this protects existing revenue while adding new.

Soft spots: construction is price-sensitive (ACV may land at the low end); the 6–10% waste figure is borrowed from neighboring industries, not yet confirmed from our own data; total revenue depends on customer base size.

Go-to-Market

Start with existing customers, concrete subs first. Baker and Miller & Long are the first design partners. Rental spend is the one thing not yet in SubBase for these customers — CS leads the QBR conversation with an industry benchmark pitch, not a cold call.

"Your rental spend is the one thing missing from your SubBase picture. Industry data puts recoverable waste at 6–10% of rental spend — for a company your size, that's real money. Let's get it in the platform and find out where it's going."

Don't position as	Do position as
A rival to Tenna/EquipmentShare on features	"The equipment ledger next to your material ledger"
A standalone fleet platform	One system for everything that shows up on a job site
A telematics/GPS product	Simple field check-in + POs, job costs, and ERP already connected

Pricing: flat module fee, tiered by fleet size — ~\$500/\$1,000/\$1,800/month for small/medium/large fleets. Two rules: never charge per field user (adoption dies if every super needs a paid seat), and keep the entry price lower than the off-rent savings alone.

Implementation Roadmap

Phase	Length	What we build	Go signal
0 — Prove it	~4 weeks	No code. Analyze rental spend; interview 8–10 fleet managers and supers at Baker, Miller & Long, and other enterprise accounts.	≥3 design partners committed; real waste quantified at ≥2 accounts
1 — The wedge	~1 quarter	Equipment list, rent-in POs with off-rent alerts, mobile check-in/out, basic scheduling	Field crews use check-in/out weekly; documented dollars saved from catching off-rents
2 — The platform	~2 quarters	Scheduling board, utilization reports, cost-to-job-cost, maintenance log, ERP sync	25%+ of eligible customers attach; field DAU/MAU above 40%
3 — Expansion	Later	Rent-out billing, telematics integrations, marketplace options	Phase 2 economics holding at scale

Kill if the field won't bite. If design-partner superintendents won't use check-in/out after two rounds of field testing, stop — back-office polish can't save a product with no field data underneath it.

Re-scope if the savings aren't there. If off-rent waste comes back under ~2% of rental spend at design partners, pivot Phase 1 toward fleet scheduling instead.